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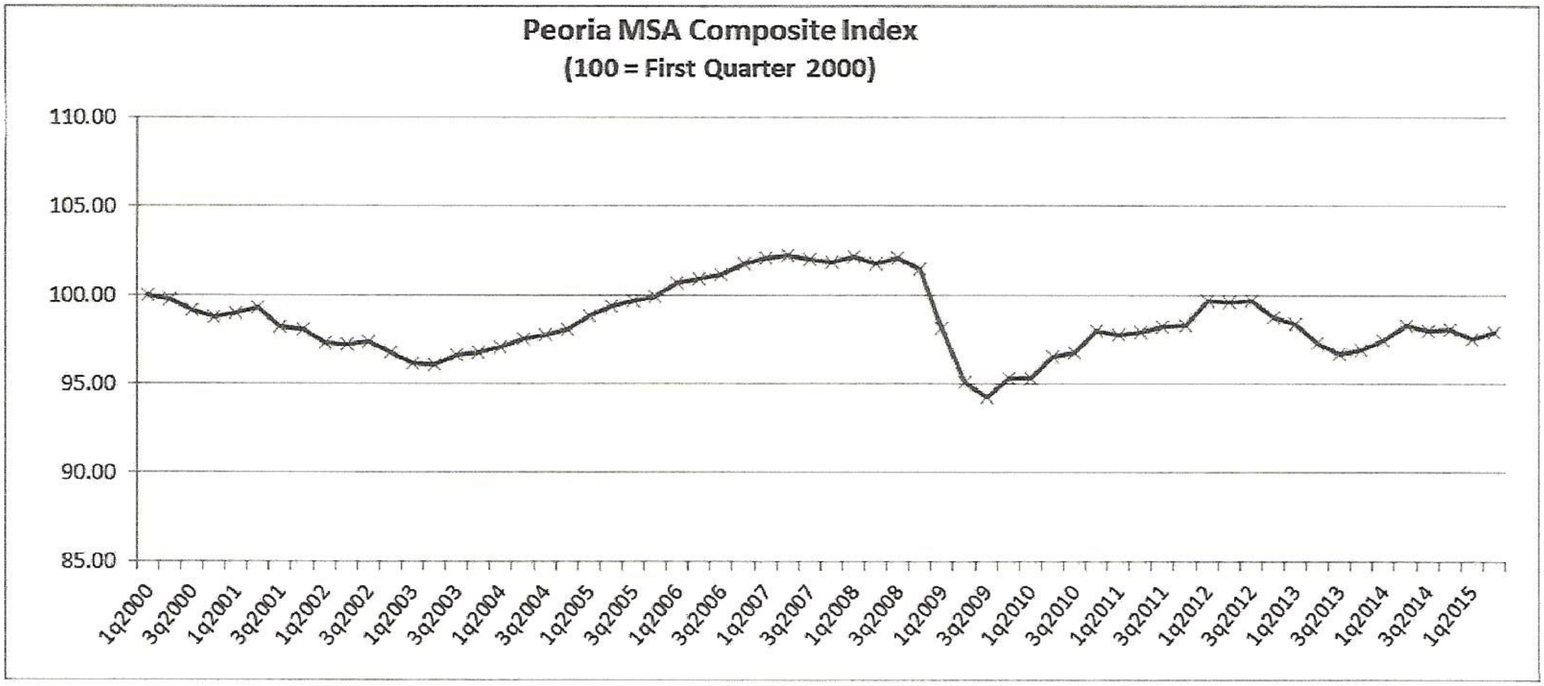

Rise in Third Quarter Peoria-Pekin MSA Composite Index

Gains outweighed losses during the third quarter among the14 key local business and economic indicators that comprise the third quarter 2015 Composite Index for the Peoria-Pekin Metropolitan Statistical Area (MSA; Peoria, Tazewell, Woodford, Stark and Marshall counties), as the Composite Index rose 0.9% from the previous quarter, and put the Index 0.8% above year earlier levels,

The Composite Index for the Peoria-Pekin Metropolitan Statistical Area reflects business activity in the MSA on a seasonally adjusted basis, with an index score of 100 corresponding to local business conditions in the first quarter of 2000, following the national economic expansion of the previous decade.

The Center for Business and Economic Research (CBER) reviews over 30 diverse business indicators in its quarterly assessments. The CBER is housed in the Foster College of Business of Bradley University and has compiled data for the local business and economic data base since 1991.

The Peoria *Journal Star* funds maintenance of this business indicator database. A detailed analysis of these data appears below. Data reported are adjusted for normal seasonal variation, other than Peoria-Pekin MSA retail sales, and the number of homes sold in the Peoria-Pekin MSA.

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Labor and Job Markets

The number of unemployed job seekers increased, boosting the local unemployment rate 0.5 percentage points during the quarter. The increase in those looking for a job was driven by an 18.8% increase in the number of new job openings advertised during the third quarter, and by rising layoffs, with a 17.9% rise in the New Unemployment claims Index. Many job seekers found work, so that the number of working residents rose 1.6% since the second quarter, to 175,290 working residents.

The increased number of working residents filled about the same number of jobs (up 0.1% in the quarter), with the increase in number working reflecting the combined impacts of increased numbers of self-employed, and decreased numbers of people working multiple jobs. Jobs filled by job seekers in the third quarter were found most often in the Hospitality/Entertainment industry (dominated by restaurants), with the number of persons in these jobs up 8.6% from the previous quarter. Reduced job opportunities were found in Manufacturing, and Professional and Business Services (dominated by temporary help), that reduced jobs by 1.0% and 2.6%, respectively, from the previous quarter.

Services and Trade

Inflation adjusted retail spending by local consumers rose 1.2% from the previous quarter, but remained 1.1% below year earlier levels. The number of jobs in Retail trade was off 1.1% from the previous quarter, for a 1.7% decline from the year before.

Despite a third quarter 1.3% drop in health care employment during the quarter, the number of health care jobs was 1.2% higher than the year before, consistent with the year to year 4.1% increase in hospital revenues over the same period.

The number of homes sold in the third quarter in the Peoria-Pekin MSA was 11.9% higher than year earlier levels, supported by still favorable mortgage interest rates. The supply of homes for sale remained 6.0% above the year before, helping keep the prices of homes close to last year's levels (up 0.7% from year before).

Construction employment was off 2.5% from the previous quarter, and single family building permits were down 2.2% in the quarter, signaling modest declines in new home construction in the coming months.

Review and Outlook

Current conditions showed that third quarter growth boosted the Composite Index of local business and economic conditions and had increased the number of working residents. Looking ahead, declines of three of the four local leading indicators signal little further growth in the short term.

Declines in jobs in coming months may not result in commensurate declines in consumer spending on retail purchases and on services, as consumers enjoy not only earned income, but also the retirement incomes of the aging baby boom cohort (the oldest boomers turned 69 this year).

Bernard Goitein, PhD
Director, Center for Business and Economic Research

3q2015 SCOPE data table

All data and changes seasonally adjusted excluding retail sales, and number of homes sold

	3rd Quarter 2015 Figure	*3rd Quarter 2014 Figure*	*Year -to- Year Change*	*3rdQ2015 from 2ndQ2015*
LEADING INDICATORS				
Single Family Building Permits Index (2000=100)	**25.5**	44.7	-43.0%	-2.2%
Job Opening Index (2012=100)	**151.4**	**110.1**	**37.5%**	**18.8%**
REVERSE SCALE LEADING INDICATORS				
Average Unemp. Rate (L)	5.9%	7.4%	-1.4	0.5
New Unemployment Claims Index (2000=100) (L)	**108.7**	74.3	46.3%	**17.9%**
COINCIDENT INDICATORS				
Employed Residents	**175,290**	**173,879**	0.8%	1.6%
Total Jobs	**176,827**	**178,585**	-1.0%	0.1%
LAGGING INDICATORS				
Local Prime Rate	3.25%	3.25%	0.00	0.00
Mortgage Cost Rate	3.94%	4.13%	-0.19	-0.01
OTHER INDICATORS				
Employment-related				
Employment in:				
Construction	7,595	7,871	-3.5%	-2.5%
Manufacturing	25,696	26,793	-4.1%	-1.0%
Total Services/Trade	143,602	143,968	-0.3%	0.4%
Local Government	17,469	17,961	-2.7%	1.3%
All Private Services/Trade	122,425	122,366	0.0%	0.3%
Professional and Business Services	19,284	20,669	-6.7%	-2.6%
Health Care	31,199	30,834	1.2%	-1.3%
Hospitality/Entertainment	19,708	18,089	9.0%	8.6%
Retail and Wholesale Trade	24,895	25,328	-1.7%	-1.1%
Sales-related				
Estimated Retail Sales (bil) NSA	$1.324	$1.346	-1.7%	NSA
Inflation Adjusted Retail Sales Index(2000 = 100) e	99.0	100.2	-1.1%	1.2%
Number Homes Sold NSA	1,626	1,453	11.9%	NSA
Available Homes For Sale Index (2000=100)	131.5	124.0	6.0%	-7.6%
Price of Homes Sold Index (2000 = 100)	137.2	136.3	0.7%	-5.6%
Estimated Hospital Revenue (mil) NSA	$124.7	$119.8	4.1%	NSA
COMPOSITE PEORIA MSA INDEX *(2000=100) e*	98.8	98.0	0.8%	0.9%
BACKGROUND INDICATORS				
Average Illinois Unemployment Rate	5.6%	6.5%	-0.9	-0.4
Average US Unemployment Rate	5.2%	6.1%	-0.9	-0.2
Midwest Quit Rate*	1.9%	1.9%	-0.1	-0.1
Average US Hours Worked/Week	41.7	42.0	-0.7%	-0.2%
Average US Overtime Hours/Week, Durable Manufacturing	4.2	4.6	-10.1%	-3.8%
Average Midwest Urban CPI (1982-84=100)	225.6	226.8	-0.5%	0.4%
Value of US Dollar Index	91.8	78.0	17.6%	2.0%
Gross Domestic Product (chained dollars, billions) (e)	4099	4017	2.0%	0.4%

L = Leading indicator

Lg = Lagging Indicator

e = Preliminary estimate

Background

All business indicator data reported are adjusted for normal seasonal variation, other than quarterly retail sales, hospital sales and number of homes sold. The CBER relies on SPSS for seasonal adjustment. The seasonal adjustment procedure removes the impact of seasonal components, i.e., the predictable seasonal variations of the data, so that any underlying trend in the data series can be discerned.

The "Composite Peoria-Pekin MSA Index" consists of the average of 14 key standardized, seasonally adjusted economic indicators. Indicators are standardized using a z transformation. A value of 100 corresponds to the Index value in the first quarter of 2000.

The "Single Family Building Permits" Index includes seasonally adjusted activity authorized by local building permits issued by the City of Peoria, Marshall County, Peoria County, Stark County, Tazewell County and Woodford County. The building permit activity authorized by these six governments in 2000 reflected over 80% of the nearly 1000 single family building permits issued by all governments in the five county MSA during the base year of 2000.

The "Job Opening Index" reflects an a weighted average of new help wanted postings for the Peoria MSA, with an Index value of 100 corresponding to the average quarter's five-county help wanted postings in 2012.

The "New Unemployment Claims Index" refers to the seasonally adjusted number of new weekly unemployment claims in the five-county Peoria-Pekin MSA, with an Index value of 100 reflecting the average weekly number of new unemployment claims in 2000.

The CBER uses a regression model to estimate the most recent quarter's taxable retail sales. The Inflation Adjusted Retail Sales Index reflects estimated taxable retail spending in the Peoria-Pekin MSA, adjusted for inflation and for normal seasonal variation in retail sales. A score of 100 represents the inflation adjusted, seasonally adjusted retail sales during the first quarter of 2000.

The CBER uses a regression model to estimate the number of jobs in area health care.

The CBER's "Hospital Revenue Index" reflects estimated total area hospital revenues.

The five-county seasonally adjusted Index of available homes for sale is computed relative to the score of 100 in the base year of 2000. The CBER estimate of the seasonally adjusted Index of Price of Homes Sold is computed relative to a score of 100 in the base year of 2000.

US government statistics compiled with seasonal adjustment include Illinois and US unemployment rates, the average number of hours worked/week by production and non-supervisory workers, average number of hours of overtime worked/week in durable goods manufacturing, the Midwest Urban Consumer Price Index (CPI; computed monthly for the Midwest region by the Bureau of Labor Statistics), the Midwest quit rate, Value of U.S. Dollar Index," and the Gross Domestic Product.

The Quit Rate is the number of quits during the month, divided by the number of employees who worked at that time.